

## Executive Summary

The restaurant industry increasingly operates across multiple sales channels, including in-store dining, third-party delivery aggregators, and self-managed delivery services. While these channels expand customer reach and revenue opportunities, they also introduce varying cost structures that significantly impact profitability. As a result, high sales volume does not necessarily translate into sustainable financial performance.

This project was conducted to evaluate channel-level profitability for SkyCity Auckland Restaurants & Bars and provide data-driven insights into the financial impact of commissions, operating costs, and delivery expenses across different order fulfillment channels.

The analysis examined profitability across four primary channels: In-Store Dining, Uber Eats, DoorDash, and Self-Delivery. Key performance indicators including net profit, profit per order, margin percentage, commission impact, delivery cost impact, and profitability volatility were evaluated to identify the most financially sustainable channels.

The findings revealed that In-Store Dining generated the highest overall profitability, producing approximately \$3.83 million in net profit with an average margin of 30.82%. Self-Delivery emerged as the second most profitable channel, generating approximately \$3.63 million in net profit with a healthy margin of 22.60%.

In contrast, Uber Eats and DoorDash generated substantially lower profits despite significant revenue volumes. Both aggregator channels produced average margins below 1%, largely due to commission expenses averaging approximately 30% of revenue. The analysis demonstrated that third-party commissions represent the single largest factor contributing to margin erosion.

Cuisine-level analysis showed that Japanese, Thai, and Indian restaurants maintained stronger margins across delivery channels, while Chicken Dishes and Kebabs/Mediterranean concepts exhibited greater profitability challenges. Segment-level analysis indicated that Ghost Kitchens achieved the strongest overall margins, while Full-Service restaurants experienced the greatest profitability pressure from aggregator platforms.

Risk assessment further revealed that Uber Eats and DoorDash exhibited significantly higher profitability volatility compared to In-Store and Self-Delivery channels. More than 500 restaurant-channel combinations generated negative margins through aggregator platforms, indicating substantial exposure to loss-making operations.

The analysis concludes that long-term profitability is driven not by order volume alone but by disciplined channel management and margin optimization. Strategic recommendations include prioritizing in-store sales, expanding self-delivery capabilities where operationally feasible, and using financial evidence from this analysis to support future commission negotiations with delivery aggregators.

This project provides a practical decision-support framework that enables management to evaluate channel performance, improve profitability, and develop sustainable growth strategies in an increasingly commission-driven restaurant ecosystem.